ACTIVITY 9

Evaluate Carbon Offset Projects and Economics

ISO 14064-1:2018 Greenhouse Gas (GHG) Emissions and Removals
TGS-2025055502 · K8 · K9 · A2 · LO4 · 50 minutes

Objective

Assess offset quality, delivery and financial implications before procurement.

Scenario

EcoForge receives proposals for a tropical forest avoidance project, a landfill-methane project and an engineered carbon-removal contract. Prices, vintages, delivery dates, durability, buffer provisions, host-country authorisation, verification status and co-benefits differ. Marketing wants to claim carbon neutrality next quarter.

Materials

- Three fictional project dossiers
- Offset integrity and claims criteria
- Price and transaction-cost assumptions
- Due-diligence workbook

Activity questions

- What evidence supports additionality and robust baselines?
- How are permanence, leakage and reversal addressed?
- Could double counting or delivery failure occur?
- What is the risk-adjusted total cost per retired tonne?

Required evidence

- Due-diligence register
- Quality scorecard
- Risk-adjusted cost model
- Procurement and claims recommendation

Detailed Procedure

1. Confirm EcoForge's intended use, residual-emissions boundary, quantity, timing and claim objective.

2. Review each project's methodology, baseline, additionality rationale and monitoring evidence.

3. Assess permanence or durability, reversal response, leakage and uncertainty deductions.

4. Check independent validation/verification, registry serialisation, ownership, retirement and double-counting controls.

5. Evaluate safeguards, stakeholder impacts and credible co-benefits without treating them as substitutes for climate integrity.

6. Model credit price, transaction cost, due diligence, delivery risk and replacement exposure.

7. Score quality and risk, record red flags and specify conditions precedent to purchase.

8. Recommend purchase, pilot, defer or reject for each project and explain why.

9. Draft claim language that clearly states inventory boundary, reduction actions, credit quantity, vintage and retirement.

Acceptance Check

The decision is evidence-based, includes quality and financial risk, requires retirement proof, and does not use credits to obscure gross organisational emissions.

Learner completion checklist

Done	Evidence / output	Reviewer comment
■	Due-diligence register	
■	Quality scorecard	
■	Risk-adjusted cost model	
■	Procurement and claims recommendation	